

LECTURE #20

Date

LATER STAGE (ADVICE) - SAM ALTMAN.

- Management
- HR
- Company productivity
- Legal, Finance, Accounting, Tax.
- Your Psychology.
- Marketing and PR
- Dealmaking.

- * This is for months to 2-3
- * After product market fit
- * A waste of time until you have something working

MANAGEMENT

Establish a structure

- * Need it at about 25 employees.
- * Every employee should have a manager, every manager should have their reports.
- * Know how to change the structure, add new people - just make it clear.

* Clarity and simplicity are the most important thing.

Building a great product

Building a great company

* FAILURE CASES

1. Being afraid to hire senior people.
2. Hero mode - extreme leading by example.
3. Bad Delegation - not giving enough responsibility.
4. Not developing a personal tracking & productivity system.

COPY HOW YOU DO THINGS AND WHY YOU DO THINGS (CULTURAL VALUES)

- * You should tell your employees that how you are going to do the things.
- * As the company hires and work alongside the people are going to help you out.

HUMAN RESOURCE

It can speed you up.

- * Have a clear structure
- * Performance feedback - Simple and Frequent.
- * Compensation Explicitly tied to performance
- * Equity - be generous.
- * Your investors will give you bad advice.
- * Distribute 2-5% per year.

Think about the stock of the company.

Stock and Vesting

- * Keep up with refreshment grants.
- * Structures - 6 years, Pyramid Vesting, Continuous Forward vesting
- * Get an option management system early.

RULES THAT CHANGE AROUND 50 EMPLOYEES

- * 50 employee requirements.
- * Sexual harassment diversity training
- * Monitor for burnout.
- * Hiring process.

- * Full time recruiters.

- * Internal announcements.

- * New employee ramp up.

- * Think about diversity early!

- * Growth of your early employees.

* For early employees, you should focus on the path of the early employees and just discuss about their career growth with them.

COMPANY PRODUCTIVITY

- * The productivity goes down with the square of the number of employees.

- * Start thinking about the systems about the variations.

- * One word: alignment

- * Clear roadmap and goals

- * All employees can say the same top 3 goals.

- * Figure out the values early.

- * Be run by product, not process.

- * Ship everyday

- * Have transparency and rhythm in communication.

- * Weekly management meetings

- * Ad-hocs meetings

- * Quarterly and Annual Planning.

- * Offsites.

The Goal

Date

Build a company that creates enduring value over a long period of time.

* Repeatable innovation and a culture of operational excellence is the hardest thing to do in the business.

MECHANICS

Legal, Finance, Accounting and Tax

- Clean books, accounting firm, auditors.
- Collect your legal documents - easy to fix now if you're missing something.
- FF stock in the B round.
- IP, Trademarks, Patents;
 - a. monthly, provisional, international.
 - b. Trademarks, US and international.
 - c. Pendants, misspellings and all TIPS.
- Financial Planning & Analysis.
- Consider hiring a full time fundraiser.
- Tax structuring.

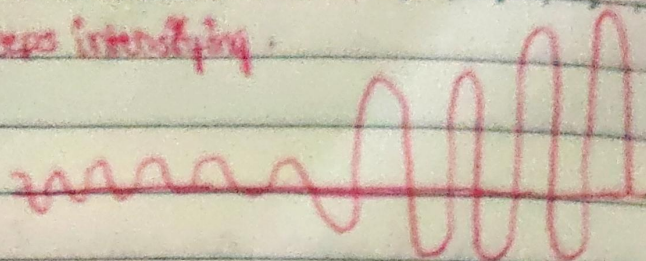
* Pay way less money and have half the dilutions and bring on the tax structures.

* Register yourself in some other country, build a tax that UK is going to work out and understand the way where you are going to be having zero taxes.

*

YOUR PSYCHOLOGY

* It keeps intensifying.



- * Try to manage the psychology
- * Ignore the holders.
- * Long-term commitment and a long term strategy.
- * Monitor. Burnout and take vacations.
- * Don't just leave the business. and you are doing things that are not building the products.
- * Ignore acquisition interest.
- * You distract yourself and don't start any acquisition costs.
- * Startups Fail when founders quit.

MARKETING AND PR

- * Don't think about this once your product is working - don't ignore it.
- * Don't outsource the key messaging
- * Repeat the key messages again and again.
- * Get to know key journalists.
- ↳ Have a direct link with the journalists itself.
- * They will come every day that you are going to take things

Deals

- * Build a great product.
- * Develop a personal connection.
- * Have a competitive dynamic.

$$\begin{array}{c} \text{GOOD FOUNDERS} \\ + \\ \text{GOOD IDEA} \\ \text{Date} \end{array} = \text{FUNDING}$$

- * Be persistent.
- * Ask for what you want.
- * Go off and meet the people.
- * They are gonna completely die and wiggle of the resources.

* You want the diversity of the backgrounds, but you don't want the diversity of the visions.

How to keep track of the productivity systems?

- * Keep one piece of paper with your goals for the 3-month timeframe and then look at them everyday.
- * Keep one page everyday for the short term goal everyday.

How to fail gracefully?

- * The Silicon valley loves that how the things are going to work out.
- * Be upfront about it and don't create any problem for the employees.
- * Tell the investors that you are failing and not totally run out of the money.
- * Don't make a blow up for the company.

- * The tech companies are run by their founders for a very long time or forever even.
- * That is not like going to bring the company.
- * Being a founder is going to be working on the company.
- * Working with a VC company is going to help you.